

Audited Financial Statements

Kuvare Life Re Ltd.

For the Years Ended December 31, 2025 and 2024

With Report of Independent Auditors

Kuvare Life Re Ltd.
Audited Financial Statements
For the Years Ended December 31, 2025 and 2024

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Report of Independent Auditors

The Board of Directors
Kuvare Life Re Ltd.

Opinion

We have audited the financial statements of Kuvare Life Re Ltd. (the Company), which comprise the balance sheets as of December 31, 2025 and 2024, and the related statements of operations and comprehensive income, changes in shareholder's equity and cash flows for the years then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company at December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Adoption of ASU No. 2018-12

As discussed in Note 2 to the financial statements, on January 1, 2025, the Company adopted ASU No. 2018-12, *Financial Services – Insurance (Topic 944), Targeted Improvements to the Accounting for Long-Duration Contracts*, with a transition date of January 1, 2024.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company as applicable to audits of financial statements of public interest entities and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Ernst & Young Ltd.

Hamilton, Bermuda
April 30, 2026

Kuvare Life Re Ltd.

Balance Sheets

As at December 31, 2025 and 2024

(expressed in U.S. dollars)

	December 31, 2025 \$	December 31, 2024 \$
Assets		
Cash and cash equivalents	46,560,956	21,658,967
Restricted cash	411,220,564	455,147,240
Fixed maturity securities, trading, at fair value (note 3 and 8)	89,923,055	64,599,348
Fixed maturity securities, available for sale, at fair value, net of allowance for credit losses (note 3 and 8)	5,473,769,373	3,611,386,500
Other investments (note 3 and 8)	50,287,588	53,475,702
Derivative assets (note 8 and 9)	119,411,646	63,816,955
Funds withheld assets (note 4)	2,380,429,197	2,538,240,191
Total cash and invested assets	8,571,602,379	6,808,324,903
Accrued investment income	60,593,972	40,716,057
Accounts receivable	68,638,593	120,175,742
Reinsurance recoverable (note 4 and 10)	1,005,136,111	590,435,279
Market risk benefit ("MRB") asset (note 6)	5,407,784	3,540,693
Deferred acquisition costs (note 11)	99,874,590	83,927,267
Total assets	9,811,253,429	7,647,119,941
Liabilities		
Policyholder account balance ("PAB") (note 4 and 5)	6,073,847,404	4,699,682,626
Liability for future policy benefits ("LFPB") (note 4 and 7)	1,435,122,263	1,322,080,499
Market risk benefit liability (note 6)	1,723,897	1,457,881
Deposit liability (note 4)	197,854,244	234,689,570
Derivative liabilities (note 8 and 9)	484,800,606	273,310,778
Embedded derivative liabilities (note 4 and 8)	311,608,306	387,692,017
Unearned Revenue Reserve (note 12)	28,877,223	33,278,216
Funds withheld liabilities (note 4)	993,027,009	583,515,381
Repurchase agreement liabilities (note 3)	20,262,710	-
Due to affiliates (note 15)	-	190,288
Accounts payable and accrued expenses (note 15)	92,200,810	43,290,124
Total liabilities	9,639,324,472	7,579,187,380
Shareholder's equity		
Share capital (note 13)	250,000	250,000
Additional paid-in capital (note 13)	327,672,912	307,119,428
Retained deficit	(284,448,367)	(301,305,787)
Accumulated other comprehensive income	128,454,412	61,868,920
Total shareholder's equity	171,928,957	67,932,561
Total liabilities and shareholder's equity	9,811,253,429	7,647,119,941



Director

The accompanying notes are an integral part of these financial statements.

Kuvare Life Re Ltd.

Statements of Operations and Comprehensive Income (Loss)

For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

	December 31, 2025	December 31, 2024
	\$	\$
Revenues		
Premium income	104,573,992	47,434,591
Investment income from funds withheld	86,782,583	85,847,672
Realized losses from funds withheld	(38,865,947)	(13,535,126)
Derivatives gain from funds withheld	16,622,953	15,381,205
Unrealized gains (losses) on embedded derivative	76,083,711	(10,374,138)
Amortization of unearned revenue reserve (note 12)	4,400,993	4,165,059
Investment management expenses (note 15)	(22,875,521)	(17,614,157)
Net investment income	336,659,213	250,938,723
Realized gains (losses) on investments and derivatives	10,499,276	(18,767,637)
Unrealized (losses) gains on investments	(3,025,747)	3,139,131
Unrealized losses on derivatives	(170,961,813)	(189,931,587)
Total revenues	399,893,693	156,683,736
Benefits and Expenses		
Claims and other insurance expenses (net remeasurement (gain) losses on LFPB: 2025 - \$1,856,816, 2024 - (\$2,133,692))	217,020,702	145,135,552
Interest credited	144,079,620	151,669,370
Change in the fair value of MRB, net	(2,156,861)	(1,813,405)
Amortization of deferred acquisition costs (note 11)	10,629,733	6,815,028
Net foreign exchange gains	(10,491,536)	(125,895,668)
Operating expenses (note 15)	23,954,615	21,651,302
Net income (loss)	16,857,420	(40,878,443)
Other Comprehensive income (loss)		
Unrealized gains (losses) on available for sale securities	77,785,831	(16,080,067)
Remeasurement (losses) gains on LFPB attributable to discount rate	(10,644,552)	94,340,310
Remeasurement (losses) gains on MRB attributable to own credit risk	(555,787)	343,079
Total other comprehensive income	66,585,492	78,603,322
Total comprehensive income	83,442,912	37,724,879

The accompanying notes are an integral part of these financial statements.

Kuvare Life Re Ltd.

Statements of Changes in Shareholder's Equity For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

	Share capital \$	Additional paid-in- capital \$	Retained earnings (deficit) \$	Accumulated other comprehensive income (loss) \$	Total \$
Balance, December 31, 2023	250,000	182,119,428	(266,336,892)	19,914,827	(64,052,637)
Adoption of new accounting standard – Long-duration contracts	-	-	5,909,548	(36,649,229)	(30,739,681)
Capital contributions (note 13)	-	125,000,000	-	-	125,000,000
Net loss	-	-	(40,878,443)	-	(40,878,443)
Other comprehensive income	-	-	-	78,603,322	78,603,322
Balance, December 31, 2024	250,000	307,119,428	(301,305,787)	61,868,920	67,932,561
Capital contributions (note 13)	-	120,553,484	-	-	120,553,484
Return of capital (note 13)	-	(100,000,000)	-	-	(100,000,000)
Net income	-	-	16,857,420	-	16,857,420
Other comprehensive income	-	-	-	66,585,492	66,585,492
Balance, December 31, 2025	250,000	327,672,912	(284,448,367)	128,454,412	171,928,957

The accompanying notes are an integral part of these financial statements.

Kuvare Life Re Ltd.

Statements of Cash Flows

For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

	December 31, 2025 \$	December 31, 2024 \$
Cash flows from operating activities		
Net income (loss)	16,857,420	(40,878,443)
Adjustments to reconcile net income (loss) to net cash flows (used in) generated by operating activities:		
Realized and unrealized gains on investments	163,488,284	205,560,093
Unrealized (losses) gains on embedded derivatives	(76,083,711)	10,374,138
Remeasurement (losses) gains	(11,200,339)	94,683,389
Changes in operating assets and liabilities:		
Funds withheld assets	119,176,464	136,328,908
Accrued investment income	(19,877,914)	(14,167,832)
Accounts receivable	51,537,149	46,311,226
Reinsurance recoverable	(414,700,832)	14,153,715
Market risk benefit asset/liability	(1,601,075)	(2,156,484)
Deferred acquisition costs	(15,947,322)	(17,510,665)
Policy account balance and liability for future policy benefits	1,487,206,542	1,258,866,132
Due from affiliate (accrued interest)	(190,288)	190,288
Unearned revenue reserve	(4,400,993)	(5,107,917)
Funds withheld liabilities	409,511,628	1,897,714
Accounts payable and accrued expenses	48,910,682	(7,363,045)
Net cash provided by operating activities	1,752,685,695	1,601,181,219
Cash flows from investing activities		
Purchase of securities, trading, at fair value	(87,962,143)	(21,034,793)
Purchase of securities, available for sale, at fair value	(2,512,292,605)	(1,620,267,943)
Purchase of derivatives	(47,634,608)	(33,783,676)
Sale of securities, trading, at fair value	93,957,955	16,193,668
Sale of securities, available for sale, at fair value	753,427,479	162,134,602
Deposit liability	1,799,205	2,158,845
Net cash used in investing activities	(1,798,704,717)	(1,494,599,299)
Cash flows from financing activities		
Paid in capital	106,731,625	45,000,000
Return of capital	(100,000,000)	-
Repurchase agreement liability	20,262,710	-
Net cash (used in) provided by financing activities	26,994,335	45,000,000
Change in cash, cash equivalents and restricted cash	(19,024,687)	231,581,921
Cash, cash equivalents and restricted cash - beginning of period	476,806,207	245,224,286
Cash, cash equivalents and restricted cash - end of period	457,781,520	476,806,207
Supplemental disclosures:		
Security transfers for return of capital	13,821,859	-
Interest paid on promissory note	190,288	564,721
Non-cash transaction – Capital contribution from shareholder	-	80,000,000

The accompanying notes are an integral part of these financial statements.

Kuvare Life Re Ltd.

Notes to Financial Statements

For the years ended December 31, 2025 and 2024

(expressed in U.S. dollars)

1. Organization and corporate structure

Kuvare Life Re Ltd. ("the Company", we, our or us) was incorporated as a Bermuda exempted company with limited liability on May 27, 2016 and registered as a Class E insurer under The Insurance Act 1978 of Bermuda, effective October 3, 2016.

The Company is solely owned by Kuvare UK Holdings Limited, a holding company incorporated under the laws of England and Wales. Kuvare Holdings LP, ("Kuvare LP") a Cayman Islands exempted limited partnership is the direct shareholder of Kuvare UK Holdings Limited, which is ultimately held by management and long-term investors who have committed capital to Kuvare LP.

The Company has entered into twelve separate quota share reinsurance agreements with third party cedants since its inception. The Company's reinsurance transactions have been executed on either a Coinsurance, Funds Withheld or Modified Coinsurance ("modco") basis. Reserves assumed represent annuity products including fixed deferred and fixed indexed annuity contracts, the fixed component of variable annuity contracts, structured settlement contracts, whole life contracts and preneed contracts. The Company cedes, on a funds withheld basis, certain of its fixed deferred annuity, fixed indexed annuity and pre-need contracts.

2. Summary of significant accounting policies

a) Basis of preparation

These financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("US GAAP"). The preparation of financial statements in conformity with US GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period.

b) Investments

The Company's investment portfolio comprises fixed maturity securities and other investments in the form of limited partnerships or similar legal structures. These are classified as trading or available-for-sale (AFS) and recorded at fair value through profit and loss or as a component of accumulated other comprehensive income (loss), respectively. Investment income is recognized as it accrues or is legally due. Investment income on fixed maturity securities includes coupon interest, as well as the amortization of any premium and the accretion of any discount. Changes in the fair value of the Company's investments classified as trading and realized gains (losses) on trading securities are included in net realized and unrealized gains (losses) on investments within the statement of operations. Changes in the fair value of the Company's investments classified as AFS are included in unrealized gains (losses) on AFS securities within other comprehensive income (loss). Realized investment gains and losses are recognized on a first-in first-out ("FIFO") basis.

Short-term investments consist of financial instruments with maturities of greater than three months but less than twelve months when purchased. These are stated at fair value or amortized cost, which approximates fair value.

The Company records investments on a trade date basis, with any unsettled trades at year end recorded in accounts receivable or accounts payable and accrued expenses on the balance sheet.

The fair value of certain of the Company's other investments, which principally include private credit and equity investments, is generally established on the basis of the net valuation criteria established by the managers of such investments in accordance with the governing documents of such investments. Certain of the Company's fund managers, fund administrators, or both, are unable to provide final fund valuations as of the

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Company's current reporting date. The typical reporting lag experienced by the Company to receive a final net asset value report is up to three months.

In circumstances where there is a reporting lag between the current period end reporting date and the reporting date of the latest fund valuation, the Company estimates the fair value of these funds by starting with the prior month or quarter-end fund valuations, adjusting these valuations for actual capital calls, redemptions or distributions and then estimating the return for the current period. In circumstances in which the Company estimates the return for the current period, all information available to the Company is utilized.

The Company evaluates fixed maturity securities in an unrealized loss position for Current Expected Credit Losses ("CECL"). First, we assess whether we intend to sell, or it is more likely than not that we will be required to sell, the security before recovery of its amortized cost. If either of the criteria is met, the security's amortized cost is written down to its fair value. For fixed maturity securities that do not meet either criteria, we evaluate whether the decline in fair value has resulted from credit losses or other factors. In making this assessment, management considers the extent to which fair value is less than amortized cost, any changes to the rating of the security by a rating agency, and adverse conditions specifically related to the security, among other factors. If management deems a credit loss has occurred, the impairment is recorded through an allowance for credit losses rather than as a write-down. Changes in the allowance for credit losses are recorded through operations. Any impairment that has not been recorded through an allowance for credit losses is recognized in accumulated other comprehensive income on our balance sheets.

c) Funds withheld

Funds withheld assets represent a receivable for amounts contractually withheld by ceding companies in accordance with reinsurance agreements in which we act as reinsurer or a modified coinsurer in the case of modco transactions. Although the assets in funds withheld and modco trusts are legally owned by the ceding company, the assets are separated from the general accounts of the cedants and all economic rights and obligations on the assets accrue to the Company.

Funds withheld liabilities represent a payable for amounts contractually withheld by the Company in accordance with reinsurance agreements in which we act as cedant or a modified coinsurer. Although the assets in funds withheld are legally owned by the Company, the assets are separated from the general accounts of the Company and all economic rights and obligations on the assets accrue to the reinsurers.

The underlying agreements contain embedded derivatives as discussed in embedded derivatives below.

d) Derivative instruments

The Company's derivative instruments are primarily used to hedge certain risks experienced in our ongoing operations, including equity market risk associated with fixed indexed annuity products, and foreign exchange risks to back non-dollar denominated liabilities. Derivatives are instruments that derive their values from underlying asset prices, indices, foreign exchange rates, reference rates and other inputs or a combination of these factors. Derivatives may be privately negotiated contracts, which are usually referred to as over-the-counter, or "OTC," derivatives, or they may be listed and traded on an exchange, or "exchange-traded".

Derivatives are carried at estimated fair value on the balance sheet, with changes in fair value recognized in unrealized derivative gains (losses) within the statement of operations.

e) Embedded derivatives

Authoritative guidance for derivatives and hedging (ASC Topic 815) states that an embedded derivative shall be separated from the host contract and accounted for as a derivative if the economic characteristics and risks

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(expressed in U.S. dollars)

of the embedded derivative instrument are not clearly and closely related to the economic characteristics and risk of the host contract.

The coinsurance funds withheld and modco reinsurance agreements with the cedants and reinsurers results in an embedded derivative as the assets backing the liabilities are retained by the cedants and the Company respectively, but their underlying value is determined by factors separate from the host contract, namely interest rate and credit spread movement impacting the valuation of the underlying investments in the funds withheld and modco accounts. The embedded derivative was initially valued at zero and subsequently valued based on the change in fair value of the underlying funds withheld and modco assets.

Fixed indexed annuity liabilities contain an embedded derivative resulting from change in value of liabilities related to the reference market index performance. The fair value of the embedded derivative is computed as the present value of benefits attributable to the excess of the projected policy contract values over the projected minimum guaranteed contract values. The projections of policy contract values are based on assumptions for future policy growth, which include assumptions for expected index credits, interest rates and policyholder behavior. The projections of minimum guaranteed contract values include the same assumptions for policyholder behavior as are used to project policy contract values. The embedded derivative cash flows are discounted using a risk-free interest rate increased by a non-performance risk spread, adjusted for the Company's own credit rating. Changes in the fair value of the embedded derivative are included in interest-sensitive life and investment-type contract liabilities and is recorded in the Interest credited line of Statement of Comprehensive income.

f) Reinsurance

The Company assumes and cedes insurance and investment contracts under coinsurance, funds withheld and modco basis. Reinsurance accounting is applied for ceded and assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer insurance risk and subject the reinsurer to a reasonable possibility of a significant loss. Those contracts that do not meet risk transfer are accounted for as investment type contracts. In the normal course of business, the Company seeks to diversify risk and limits its overall financial exposure through reinsurance.

For reinsurance of existing in-force blocks of long-duration contracts that transfer insurance risk, the difference, if any, between the amounts paid or received and the liabilities ceded or assumed related to the underlying reinsurance agreements is considered the net cost of reinsurance at the inception of the reinsurance agreement. The net cost of reinsurance is amortized on a basis consistent with the methodologies and assumptions used for amortizing DAC related to the underlying reinsured contracts. Subsequent accounting for in-force blocks and new business assumed is the same as if the Company directly sold the business.

The reinsurance recoverable for traditional non-participating and limited-payment contracts is generally measured using a net premium methodology to accrue the projected gain or loss on reinsurance in proportion to the gross premiums of the underlying reinsured cohorts; and is updated retrospectively on a quarterly basis for actual experience and at least once a year for any changes in cash flow assumptions. The locked-in discount rate used to measure changes in the reinsurance recoverable recorded in net income was established at January 1, 2024, the transition date for ASU 2018-12 ("Transition Date"), or at the inception of the reinsurance treaty for new reinsurance agreements entered into subsequent to the Transition Date.

The reinsurance recoverable is remeasured to an upper-medium grade discount rate through Other comprehensive income at each reporting date, similar to the underlying reinsured contracts. The reinsurance recoverable for other long-duration contracts and associated contract features is measured using assumptions and methods generally consistent with the underlying direct policies, except that for reinsured MRBs, the entire

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change in fair value is recognized in net income each reporting period. Reinsured MRBs are included in Market Risk Benefit Asset or Liability in the Balance Sheets.

Amounts currently recoverable under reinsurance agreements are included in Reinsurance recoverable. Assets and liabilities relating to reinsurance agreements with the same reinsurer may be recorded net on the Balance Sheets if a right of offset exists within the reinsurance agreement. Revenues consist of policy charges against policyholders' funds for the cost of insurance, administration, surrender charges, actuarial fees, and other fees. Expenses include interest credited to policy account balances, benefits paid in excess of policy account balances and policyholder liability remeasurement gains or losses.

Assets and liabilities assumed or ceded under coinsurance, funds withheld, or modco are presented gross on the balance sheets.

Revenues consist of policy charges against policyholders' funds for the cost of insurance, administration, surrender charges, actuarial fees, and other fees. Expenses include interest credited to policy account balances and benefits paid in excess of policy account balances.

Accounting for reinsurance requires the use of assumptions, particularly related to the future performance of the underlying business and the potential impact of counterparty credit risks. We attempt to minimize our counterparty credit risk through the structuring of the terms of our reinsurance agreements, including the use of trusts, and we monitor credit ratings of counterparties, where relevant, for signs of declining credit quality.

Effective January 1, 2023, in connection with the adoption of a new accounting standard, the Company evaluates reinsurance recoverables for expected credit losses. The Company evaluates each counterparty individually in determining exposure to credit losses. Other factors weighed in determining counterparty exposure includes: (1) Underlying collateral in the form of funds withheld, standby letters of credit and trust accounts or other forms of collateral established for use by the Company to meet the demands of policyholders (2) historical experience with respect to payments (3) established level of regulatory capital and ongoing surveillance of net worth by regulatory agencies, and (4) significant changes in conducting business.

g) Deferred acquisition costs

Deferred acquisition costs ("DAC") represents costs directly related to the successful acquisition of new and certain renewal insurance and annuity contracts. DAC is estimated using a group approach and amortized for universal life-type policies and investment contracts with significant revenue streams from sources other than investment of the policyholder funds on a constant level basis based on policy count. Traditional life products are amortized on a constant level basis based on face amount. The constant level bases used for amortization are projected using mortality and lapse assumptions that are based on experience, industry data, and other factors and are consistent with those used for the liability for future policy benefits. If those projected assumptions change in future periods, they will be reflected in the cohort level amortization basis at that time. Unexpected lapses, due to higher mortality and lapse experience than expected, are recognized in the current period as a reduction of the capitalized balances. Upon the adoption of ASU 2018-12, the carrying amount of DAC for long-duration contracts is no longer subject to recoverability testing. DAC amortization expense is included in the Statements of Operations and Comprehensive Income (Loss) as Amortization of deferred acquisition costs.

Deferred cost related to investment contracts without significant revenue streams from sources other than investment of the policyholder funds are amortized using the effective interest method. The effective interest method amortizes the deferred costs by discounting the future liability cash flows at a break-even rate. The break-even rate is solved for such that the present value of future liability cash flows is equal to the net liability

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at the inception of the contract. The deferred costs represent the difference between the net and gross liability and the change relates to amortization for the period.

h) Deposit liability

The Company has determined that one of its reinsurance agreements does not meet all criteria to be accounted for as reinsurance and therefore the Company has accounted for the contract in accordance with FASB ASC Topic 720 using the deposit method of accounting with the funds withheld balance representing an asset and a separate deposit liability that represents reserves as determined under the reinsurance agreement. At inception, the funds withheld, or deposit liability is measured based on consideration paid or received, less any explicitly identified premiums or fees to be retained by the insurer or reinsurer. Any commission paid is recorded as a contra-liability offsetting the deposit liability and amortized to expense over the life of the business. The amount of the funds withheld or liability and any balances receivable from or payable to the Cedant will be adjusted at subsequent reporting dates by calculating the effective yield on the deposit to reflect actual payments to date and expected future payments with a corresponding credit or charge to interest income or expense.

i) Market risk benefits

MRBs are contracts or contract features that both provide protection to the contract holder from other-than-nominal capital market risk and expose the Company to other-than-nominal capital market risk. Our deferred annuity contracts contain certain riders that meet the criteria for, and are classified as, MRBs.

MRBs are measured at fair value at the contract level and are aggregated and presented as Market Risk Benefit Asset or Liability in the Balance Sheets. Changes in the fair value of MRBs are recorded in the Statements of Operations and Comprehensive Income (Loss) with the exception of the portion of the change in fair value due to a change in the instrument-specific credit risk, which is recognized in Other comprehensive income.

Upon annuitization of a contract or extinguishment of the related account balance, the associated MRB and related contract balances, including amounts recorded in AOCI, are derecognized.

j) Policyholder account balances

The Company establishes a PAB liability for customer deposits on fixed deferred annuities and fixed indexed annuities. The policyholder account balance liability includes all deposits plus interest credited, less charges and withdrawals, and excludes the impact of any applicable charges that may be incurred upon surrender. The PAB liability also includes a contra liability related to market risk benefits, such that, in instances when fees related to indexed annuity MRB products are insufficient to cover the expected benefit at contract inception, the Company will record an adjustment to the host contract (the Other Asset Account) and an offset to the host contract value, so that no gain or loss is recognized at contract inception. Interest is credited to the PAB at interest rates determined by the Company, which are influenced by current market rates, subject to specified minimums.

k) Liability for future policy benefits

LFPB is the present value of estimated future policy benefits to be paid to or on behalf of policyholders and certain related expenses less the present value of estimated future net premiums to be collected from policyholders. The liability is estimated using current assumptions that include discount rate, mortality, lapses, and expenses. These current assumptions are based on judgments that consider the Company's historical experience, industry data, and other factors.

For traditional and limited-payment contracts, such contracts are grouped into cohorts by contract type and issue year. The liability is adjusted for differences between actual and expected experience. With the exception

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(expressed in U.S. dollars)

of the expense assumption, the Company reviews its historical and future cash flow assumptions at least annually and updates the net premium ratio used to calculate the liability each time the assumptions are changed. The Company has elected to use expense assumptions that are locked in at contract inception and are not subsequently reviewed or updated.

The principal inputs used in the establishment of the LFPB reserve include actual premiums, actual benefits, in-force data, locked-in claim-related expense, the locked-in interest accretion rate, current upper-medium grade discount rate at the balance sheet date and best estimate assumptions. At least annually, the Company updates its estimate of cash flows expected over the entire life of a group of contracts using actual historical experience and current future cash flow assumptions. These updated cash flows are used to calculate the revised net premiums and net premium ratio, which are used to derive an updated LFPB as of the beginning of the current reporting period, discounted at the original contract issuance discount rate. This amount is then compared to the carrying amount of the liability as of that same date, before updating cash flow assumptions, to determine the current period change in liability estimate. This current period change in liability estimate is the liability remeasurement gain or loss. The impact of updated cash flow assumptions as well as the periodic liability remeasurement gain or loss is recognized in the Statement of Operations and Comprehensive Income (Loss) as Claims and other insurance expenses, with all remeasurement gains or losses disclosed parenthetically within the Remeasurement (losses) gains on LFPB attributable to discount rate line. In subsequent periods, the revised net premiums are used to measure LFPB, subject to future revisions.

For traditional and limited-payment contracts, an upper medium grade fixed income instrument yield aligned to the characteristic of the liability, including the duration and currency of the underlying cash flows, is used to measure the liabilities. The discount rate assumption is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change reflected in Other comprehensive income(loss) in Remeasurement gains (losses) on LFPB attributable to discount rate. For liability cash flows that are projected beyond the duration of market-observable A-rated bond, the Company uses the last market-observable yield level and keep that constant for beyond market-observable durations.

For limited-payment products, gross premiums received in excess of net premiums are deferred at initial recognition as a Deferred Profit Liability ("DPL"). Gross premiums are measured using assumptions consistent with those used in the measurement of LFPB, including discount rate, mortality, lapses, and expenses. For the transition blocks, the LFPB is compared to the transition balance as a pseudo "gross premium" to establish a DPL at transition.

DPL is amortized and recognized as premium revenue in proportion to insurance in force for life insurance contracts and expected future benefit payments for annuity contracts. Interest is accreted on the balance of DPL using the discount rate determined at contract issuance. The Company reviews and updates its estimates of cash flows for DPL at the same time as the estimates of cash flows for LFPB. When cash flows are updated, the updated estimates are used to recalculate DPL at contract issuance. The recalculated DPL as of the beginning of the current reporting period is compared to the carrying amount of DPL as of the beginning of the current reporting period, and any difference is recognized as either a charge or credit to Claims and other insurance expenses presented in the Statements of Operations and Comprehensive Income (Loss). DPL is recognized as a component of the liability for future policy benefits presented in the Balance Sheets.

Due to the many assumptions and estimates used in establishing reserves and the long-term nature of the reinsurance contracts, the reserving process, while based on standard actuarial practices, is inherently uncertain.

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The liability for future policy benefits is not reduced for amounts ceded under reinsurance agreements which are reported as reinsurance recoverable on the balance sheet.

l) **Unearned revenue reserve**

An unearned revenue reserve ("URR") is established when insurance contracts have expense charge structures that assess charges intended to compensate the entities for future service. They are accrued as the charges are collected and amortized in a manner consistent with methodologies and assumptions used for amortizing DAC.

m) **Recognition of revenues and related expenses**

The amounts collected on interest-sensitive life and investment-type reinsurance contracts are considered deposits and are recognized as part of the liability for future policy benefits. Premiums related to life and structured settlement reinsurance contracts are recognized as revenue when due.

Interest-sensitive life and investment-type benefits include interest credited to policyholder account values, policy administration and benefit claims incurred in the period in excess of related policyholders' account balances.

n) **Fair value measurements**

Authoritative guidance for *Fair Value Measurements and Disclosures* defines fair value, establishes a framework for measuring fair value, establishes a fair value hierarchy based on the inputs used to measure fair value and enhances disclosure requirements for fair value measurements. In compliance with these principles, the Company has categorized its financial instruments, based on the priority of the inputs to the valuation technique, into a three-level hierarchy. The fair value hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1) and the lowest priority to unobservable inputs (Level 3). If the inputs used to measure fair value fall within different levels of the hierarchy, the category level is based on the lowest priority level input that is significant to the fair value measurement of the instrument. In accordance with the authoritative guidance for Fair Value Measurements and Disclosures, assets and liabilities recorded at fair value on the balance sheet are categorized as Level 1, 2 and 3.

- Level 1 – Unadjusted quoted prices in active markets for identical assets or liabilities. The Company defines an active market as a market in which transactions take place with sufficient frequency and volume to provide pricing information on an ongoing basis.
- Level 2 – Quoted prices in markets that are not active or valuation techniques that require inputs that are observable either directly or indirectly for substantially the full term of the asset or liability. Level 2 inputs include the following:
 - Quoted prices for similar assets or liabilities (other than quoted prices in Level 1) in active markets;
 - Quoted prices for identical or similar assets or liabilities in non-active markets;
 - Inputs other than quoted market prices that are observable; and
 - Inputs that are derived principally from or corroborated by observable market data through correlation or other means for substantially the full term of the assets or liabilities.
- Level 3 – Prices or valuation techniques that require inputs that are both unobservable and significant to the overall fair value measurement. These valuations, whether derived internally or obtained from a third party, use critical assumptions that are not widely available to estimate market participant expectations in valuing the asset or liability. When available, the estimated fair value of securities is based on quoted prices in active markets that are readily and regularly obtainable. When quoted prices in active markets are not available, the determination of estimated fair value may be based on market standard valuation

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methodologies (pricing models), including discounted cash flow methodologies, matrix pricing, or other similar techniques, as well as significant management judgement or estimation.

o) Cash and cash equivalents

Cash and cash equivalents include deposits, money-market funds and short-term highly liquid investments (maturity of less than ninety days from the date of acquisition) that are readily convertible to known amounts of cash, and which are subject to an insignificant risk of change in value.

Restricted cash consists of cash held as part of pledged assets and as additional collateral to further secure the obligations of the Company under the Coinsurance, Funds Withheld and Modified Coinsurance Retrocession Agreements with the Cedants, pursuant to Trust Agreements between the Company and the Cedants. Restricted cash is reported as a separate line item on the balance sheet.

p) Income taxes

At the present time, no taxes are levied in Bermuda on the Company's receipts, dividends, capital gains, gifts or net profit.

On December 27, 2023, the Government of Bermuda enacted the Corporate Income Tax Act of 2023 ("Bermuda CIT"). Commencing on January 1, 2025, the Bermuda CIT generally will impose a 15% corporate income tax on entities that are tax residents in Bermuda or have a Bermuda permanent establishment and are members of multi-national groups (MNE) with consolidated revenues in excess of €750 million for at least two of the last four fiscal years, without regard to any assurances that have been given pursuant to the Exempted Undertakings Tax Protection Act 1966. The Bermuda CIT also includes various transitional provisions and elections that may reduce the amount of tax imposed. Section 13 of the CIT excludes an entity from the scope of the corporate income tax due to the Limited International Footprint Exclusion. As of December 31, 2024 and December 31, 2025 the Company is not considered to be an UPE (Ultimate Parent Entity) nor a member of an MNE group for Bermuda CIT purposes. For this reason, it has not accrued any deferred tax expense or benefit relating to the CIT as of December 31, 2025 or 2024.

q) Foreign currency transactions

The Company's functional currency is US Dollar ("USD"), which is also the reporting currency. Foreign currency transactions, revenue and expense items denominated in a currency other than the functional currency are converted into the functional currency at the average rates of exchange for the period. Monetary assets and liabilities denominated in currencies other than the functional currency are remeasured into the functional currency at the rates of exchange at the balance sheet dates. The resulting foreign exchange transaction gains or losses are included in net foreign exchange gains (losses) in the Statement of Operations. Non-monetary assets and liabilities denominated in foreign currency are not subsequently remeasured.

r) Recent accounting pronouncements

In July 2025, the FASB issued ASU 2025-05, Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets. ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods beginning after December 15, 2026. Early adoption is permitted. The Company is currently evaluating the impact of the adoption of this guidance on the financial statements.

s) Recently adopted accounting standards

In August 2018, the FASB issued ASU 2018-12, Financial Services-Insurance (Topic 944): Targeted Improvements to the Accounting for Long-Duration Contracts. The objective of this guidance is to improve, simplify and enhance the financial reporting of long-duration contracts by providing financial statement users

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with useful information in a timely and transparent manner. The primary changes include: (1) more timely recognition of assumption changes in the liability for future policy benefits and use of a current rate for the discounting of future cash flows; (2) standardization and improvement in the accounting for certain market-based options or guarantees associated with deposit (or account balance) contracts (referred to as market risk benefits); (3) simplification of the amortization of deferred acquisition costs; and (4) enhanced disclosures.

The Company adopted ASU 2018-12 as of January 1, 2024, with a modified retrospective basis selected for LFPB and DAC as of January 1, 2024 and full retrospective transition method for MRBs.

The narrative description of the Company's significant accounting policies at the beginning of this Note reflects its policies as of December 31, 2025, including the policies associated with the adoption of ASU 2018-12. The schedules below provide the transition disclosures and effect of the ASU 2018-12 adoption on the financial statements.

The following table presents the effects of the retrospective application of the adoption of ASU 2018-12 on the Company's previously reported December 31, 2024 Balance Sheet:

Impacted Lines Only	As Reported \$	Effects of Adopting ASU 2018-12 \$	As Adjusted \$
Assets			
Reinsurance recoverables	598,000,638	(7,565,359)	590,435,279
Market risk benefit asset	-	3,540,693	3,540,693
Deferred acquisition costs	73,428,859	10,498,407	83,927,266
Total Assets	7,640,646,200	6,473,741	7,647,119,941
Liabilities			
Deposit liability	233,908,996	780,574	234,689,570
Policyholder account balance	4,725,394,517	(25,711,891)	4,699,682,626
Liability for future policy benefits	1,340,645,159	(18,564,660)	1,322,080,499
Market risk liability	-	1,457,881	1,457,881
Deferred ceding commission	8,083,153	(8,083,153)	-
Deferred profit liabilities	36,903,309	(36,903,309)	-
Unearned revenue reserve	-	33,278,216	33,278,216
Total liabilities	7,632,933,723	(53,746,342)	7,579,187,380
Shareholder's equity			
Retained earnings (deficit)	303,491,711	2,185,924	(301,305,787)
Accumulated other comprehensive loss	3,834,760	58,034,160	61,868,920
Total shareholder's equity	7,712,477	60,220,084	67,932,561
Total Liabilities and Shareholder's Equity	7,640,646,200	6,473,742	7,647,119,941

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The following table presents the effects of the retrospective application of the adoption of ASU 2018-12 on the Company's previously reported year ended December 31, 2024 Statement of Operations and Comprehensive Income (Loss):

	As Reported \$	Effects of Adopting ASU 2018-12 \$	As Adjusted \$
Impacted Lines Only			
Revenues			
Amortization of deferred profit liability	5,603,196	(5,603,196)	-
Amortization of unearned revenue reserve	-	4,165,059	4,165,059
Total revenues	158,121,873	(1,438,137)	156,683,736
Benefits and expenses			
Claims and other insurance expenses	140,319,149	4,816,403	145,135,552
Interest credited	139,800,180	11,869,190	151,669,370
Amortization of deferred acquisition costs	17,143,978	(10,328,951)	6,815,027
Amortization of deferred ceding commission	2,256,367	(2,256,367)	-
Change in the fair value of MRB, net	-	(1,813,405)	(1,813,405)
Net foreign exchange gains	(125,894,284)	(1,384)	(125,895,668)
Net loss	(37,154,819)	(3,723,623)	(40,878,443)
Other comprehensive income (loss)			
Change in reserves attributable to discount rates used to measure LFPB contracts	-	94,340,310	94,340,310
Change in fair value of MRB attributable to own credit risk	-	343,079	343,079
Total other comprehensive (loss) income	(16,080,067)	94,683,389	78,603,322
Total comprehensive (loss) income	(53,234,886)	90,959,765	37,724,879

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The following table presents the effects of the retrospective application of the adoption of ASU 2018-12 on the Company's previously reported year ended December 31, 2024 Cash Flow Statement:

	As Reported \$	Effects of Adopting ASU 2018-12 \$	As Adjusted \$
Impacted Lines Only			
Cash flows - operating activities			
Net loss	(37,154,819)	(3,723,624)	(40,878,443)
Adjustments to reconcile net income to net cash provided by operating activities:			
Remeasurement gains	-	94,683,389	94,683,389
Reinsurance recoverable	3,697,603	10,456,112	14,153,715
Market risk benefit asset / liability	-	(2,156,484)	(2,156,484)
Deferred acquisition costs	(7,012,257)	(8,339,561)	(15,351,818)
PAB and LFPB	1,348,967,731	(90,101,599)	1,258,866,132
Unearned revenue reserve	-	(5,107,917)	(5,107,917)
Deferred ceding commission	(64,761)	64,761	-
Deferred profit liabilities	(5,603,196)	5,603,196	-
Net cash provided by operating activities	1,681,961,791	(780,574)	1,681,181,219
Cash flows from investing activities			
Change in deposit assets and liability	1,378,271	780,574	2,158,845

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The following table summarizes the balance of and changes in the net liability carrying amount of features now classified as MRBs on January 1, 2024 due to adoption of ASU 2018-12:

	Fixed Indexed Annuities
	\$
Balance, end of year December 31, 2023	-
Adjustment for the difference between prior carrying amount and market risk benefit value	326,098
Balance, beginning of year January 1, 2024	326,098
Less: Reinsured MRBs	399,770
Adjusted balance, beginning of year January 1, 2024, net of reinsurance	(73,672)
Direct MRB asset	3,730,925
Direct MRB liability	(3,404,827)
Reinsured MRB asset	1,850,757
Reinsured MRB liability	(1,450,987)

The adjustment relating to the cumulative effect of changes in non-performance risk (or own credit risk) between the original contract issuance date and the Transition date impacted AOCI. The remaining difference between the fair value and carrying amount of MRBs at transition, excluding the amounts recorded in AOCI, was recorded as an adjustment to Retained earnings as of the Transition Date.

The following table summarizes the balance of and changes in LFPB on January 1, 2024 due to adoption of ASU 2018-12. The impact of shifts between deferred profit liabilities and LFPB for limited-payment products are presented as offsetting line items in the effect of change in cash flow assumptions.

	Limited Pay	Structured Settlements	Total
	\$	\$	\$
Balance, prior to transition, December 31, 2023	436,799,427	929,259,001	1,366,058,428
Change in cash flow assumptions, and effect of net premiums exceeding gross premiums	-	(25,198,414)	(25,198,414)
Adjustment for deferred profit liability	-	25,198,414	25,198,414
Balance after transition, at original discount rate	436,799,427	929,259,001	1,366,058,428
Less: Change in discount rate assumptions	13,144,791	28,789,500	41,934,291
Balance after transition, at current discount rate	449,944,218	958,048,501	1,407,992,719
Less: Reinsurance recoverable, end of year, December 31, 2023	(224,972,092)	-	(224,972,092)
Balance after transition, January 1, 2024, net of reinsurance	224,972,126	958,048,501	1,183,020,627

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At transition, most cohorts reflected a significant impact related to the required change in discount rate assumptions to the LFPB balance, from the locked-in rate to the current upper-medium grade fixed income discount rate. All changes in the discount rate assumption were reflected as a component of AOCI.

The following table summarizes the balance of and changes in PAB on January 1, 2024 due to adoption of ASU 2018-12:

	Fixed Deferred Annuities \$	Fixed Indexed Annuities \$	Total \$
Balance, end of year December 31, 2023	2,703,580,583	659,701,222	3,363,281,804
Adjustment to establish MRB	-	(8,377,502)	(8,377,502)
Adjusted balance, beginning of year January 1, 2024	2,703,580,583	651,323,720	3,354,904,302
Less: Reinsurance recoverable, end of year December 31, 2023	144,862,040	234,754,863	379,616,902
Adjusted balance, beginning of year January 1, 2024, net of reinsurance	2,558,718,543	416,568,857	2,975,287,400

The following table summarizes the balance of and changes in Reinsurance Recoverable on January 1, 2024 due to adoption of ASU 2018-12:

	Fixed Deferred Annuities \$	Fixed Indexed Annuities \$	Limited Pay \$	Total \$
Balance, ceded recoverable, December 31, 2023	144,862,040	238,436,488	218,399,714	601,698,242
Change in discount rate assumptions related to LFPB & DPL	-	-	6,572,378	6,572,378
Changes in cash flow assumptions	-	486,116	-	486,116
Adjustment to establish MRB	-	(4,167,741)	-	(4,167,741)
Adjusted balance, ceded recoverable, January 1, 2024	144,862,040	234,754,863	224,972,092	604,588,995

Reinsurance transition adjustments reflect the impact of remeasurement of the ceded reinsurance recoverable reserves to an upper medium-grade fixed income discount rate, as well as adjustments for loss contracts (with net premiums in excess of gross premiums) under the modified retrospective transition approach. Refer to comments above related to the change in LFPB in regard to the Company's change in discount rate and loss contracts.

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3. Fixed maturity securities and other investments

As of December 31, 2025, the Company's fixed maturity securities holdings were \$5,563.7 million (2024 - \$3,676.0 million).

The amortized cost, allowance for expected credit losses, gross unrealized gains and losses, and estimated fair value of fixed maturity securities, available for sale (AFS) are shown below:

December 31, 2025					
	Amortized Cost \$	Allowance for Expected Credit losses \$	Gross unrealized gains \$	Gross unrealized losses \$	Fair value \$
Fixed maturity securities, AFS					
Government & agencies	15,926,366	-	51,226	(1,200,118)	14,777,474
Corporate bonds	2,537,995,036	(215,896)	66,286,925	(13,749,591)	2,590,316,474
Municipals	12,746,796	-	308,883	(36,951)	13,018,728
Asset-backed securities	1,360,098,271	(251,955)	19,089,945	(9,797,673)	1,369,138,588
Mortgage-backed securities	1,447,761,419	(524,493)	30,363,244	(12,444,030)	1,465,156,140
Collateral loans	5,131,878	-	-	(2,053)	5,129,825
Preferred stocks	15,698,103	-	616,615	(82,574)	16,232,144
Total	5,395,357,869	(992,344)	116,716,838	(37,312,990)	5,473,769,373
December 31, 2024					
	Amortized Cost \$	Allowance for Expected Credit losses \$	Gross unrealized gains \$	Gross unrealized losses \$	Fair value \$
Fixed maturity securities, AFS					
Government & agencies	15,898,820	-	-	(1,567,087)	14,331,733
Corporate bonds	1,461,581,895	(176,086)	17,876,880	(23,160,188)	1,456,122,501
Municipals	12,752,960	-	255,854	(66,314)	12,942,500
Asset-backed securities	1,187,804,596	(159,142)	19,179,035	(5,595,454)	1,201,229,035
Mortgage-backed securities	899,538,594	(589,656)	12,666,722	(18,897,501)	892,718,159
Collateral loans	18,110,137	-	51,584	-	18,161,721
Preferred stocks	15,450,000	-	430,851	-	15,880,851
Total	3,611,137,002	(924,884)	50,460,926	(49,286,544)	3,611,386,500

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The amortized cost and estimated fair value of fixed maturity securities, available for sale by contractual maturities are shown below:

	December 31, 2025		December 31, 2024	
	Amortized cost \$	Fair value \$	Amortized cost \$	Fair value \$
Due less than one year	29,005,782	29,219,664	56,329,680	56,500,526
Due after one year through to five years	636,243,345	650,533,352	307,028,116	311,300,462
Due after five years through to ten years	1,334,215,334	1,371,923,153	702,533,576	705,282,206
Due after ten years	588,033,718	587,798,476	457,902,440	444,356,112
Asset-backed and mortgage-backed securities ¹	2,807,859,690	2,834,294,728	2,087,343,190	2,093,947,194
Total	5,395,357,869	5,473,769,373	3,611,137,002	3,611,386,500

The following table illustrates the fair value and gross unrealized losses of fixed maturity securities, available for sale, aggregated by investment category and length of time that individual securities have been in a continuous unrealized loss position:

	December 31, 2025					
	Less than 12 months		12 months or more		Total	
	Fair value \$	Gross unrealized losses \$	Fair value \$	Gross unrealized losses \$	Fair value \$	Gross unrealized losses \$
Fixed maturity securities, AFS						
Government & agencies	-	-	4,751,303	(1,200,118)	4,751,303	(1,200,118)
Corporate bonds	236,485,541	(3,115,107)	267,349,861	(10,634,484)	503,835,402	(13,749,591)
Municipal	-	-	200,807	(36,951)	200,807	(36,951)
Asset-backed securities	263,774,576	(1,051,873)	121,139,428	(8,745,800)	384,914,004	(9,797,673)
Mortgage-backed securities	184,050,048	(1,661,277)	96,183,261	(10,782,753)	280,233,309	(12,444,030)
Collateral loan	5,129,825	(2,053)	-	-	5,129,825	(2,053)
Preferred Stock	-	-	165,529	(82,574)	165,529	(82,574)
Total	689,439,990	(5,830,310)	489,790,189	(31,482,680)	1,179,230,179	(37,312,990)

¹ Asset-backed and mortgage-backed securities generally have a legal stated maturity that does not correspond to the underlying cash flows and are shown as a separate category as a result.

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	December 31, 2024					
	Less than 12 months		12 months or more		Total	
	Fair value \$	Gross unrealized losses \$	Fair value \$	Gross unrealized losses \$	Fair value \$	Gross unrealized losses \$
Fixed maturity securities, AFS						
Government & agencies	-	-	14,331,733	(1,567,087)	14,331,733	(1,567,087)
Corporate bonds	552,477,020	(14,273,395)	156,702,301	(8,886,793)	709,179,321	(23,160,188)
Municipal	2,633,724	(29,729)	205,256	(36,585)	2,838,980	(66,314)
Asset-backed securities	237,657,713	(4,776,564)	22,798,958	(818,890)	260,456,671	(5,595,454)
Mortgage-backed securities	364,529,463	(9,194,092)	72,534,763	(9,703,409)	437,064,226	(18,897,501)
Total	1,157,297,920	(28,273,780)	266,573,011	(21,012,764)	1,423,870,931	(49,286,544)

At December 31, 2025, there were 280 (2024 – 300) fixed maturity securities, available for sale, that were in an unrealized loss position. Of this total, 125 (2024 – 77) were in an unrealized loss position 12 months or more. These unrealized losses related principally to current market interest rates for similar types of securities and overall economic and financial market conditions which existed during this time. In aggregate, gross unrealized losses as a percentage of amortized cost are 0.69% (2024 – 1.4%) as at December 31, 2025.

The following table sets forth certain information regarding the investment ratings of the Company's fixed maturity securities portfolio. Investment ratings are obtained from Moody's, Fitch, Standard & Poor's or other nationally recognized statistical rating organizations for each investment security.

Rating	December 31, 2025		December 31, 2024	
	Fair value \$	Percentage of total	Fair value \$	Percentage of total
Fixed maturity securities, AFS				
AAA	359,169,618	6.56%	328,315,495	9.10%
AA	351,089,818	6.41%	261,021,491	7.23%
A	2,125,290,484	38.83%	1,496,715,569	41.44%
BBB	2,560,652,869	46.78%	1,440,740,224	39.89%
BB	40,017,425	0.73%	56,675,589	1.57%
B	26,004,835	0.48%	3,324,550	0.09%
CCC and below	11,544,324	0.21%	24,593,582	0.68%
Total	5,473,769,373	100.00%	3,611,386,500	100.00%

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Rating	December 31, 2025		December 31, 2024	
	Fair value \$	Percentage of total %	Fair value \$	Percentage of total %
Fixed maturity securities, trading				
AAA	7,017,500	7.80%	-	0.00%
AA	3,379,827	3.76%	181,610	0.28%
A	21,171,506	23.55%	12,690,599	19.65%
BBB	37,273,811	41.45%	24,171,838	37.42%
BB	12,086,912	13.44%	15,535,197	24.05%
B	3,669,906	4.08%	176,958	0.27%
CCC and below	5,323,593	5.92%	11,843,146	18.33%
Total	89,923,055	100.00%	64,599,348	100.00%

Contractual maturities summary

	December 31, 2025	December 31, 2024
	\$	\$
Fixed maturity securities, trading		
Due less than one year	500,040	16,607,655
Due after one year through to five years	2,077,673	3,690,053
Due after five years through to ten years	4,352,526	4,806,475
Due after ten years	35,463,091	6,708,768
Asset-backed and mortgage-backed securities ¹	47,529,725	32,786,397
Total	89,923,055	64,599,348

¹ Asset-backed and mortgage-backed securities generally have a legal stated maturity that does not correspond to the underlying cash flows and are shown as a separate category as a result.

The Company holds other investments representing limited partnerships investments. The Company had unfunded commitments totalling \$4,920,239 as at December 31, 2025 (2024 – \$9,372,916). Investments in limited partnerships are generally non-redeemable or subject to lock-up periods on repurchase.

The Company's investments, primarily consisting of private credit and equity strategies, will generally liquidate in combination with the maturity/ sale of the underlying investments, or upon redemption following expiration of the Company's lock-up period.

As part of its hedging programme, the Company pledges collateral in the form of securities for certain coinsurance agreements. At December 31, 2025, the fair value of securities pledged was \$628,625,952 (2024 – \$263,731,540) and are included in fixed maturity securities, available for sale, at fair value on the balance sheet.

Repurchase Agreements

The Company enters into repurchase agreements, whereby the Company borrows cash from a counterparty at an agreed-upon interest rate for an agreed-upon time frame and pledges collateral in the form of securities. These agreements are normally short-term in nature and assets are restricted as collateral. At the end of the agreement, the loan amount is repaid by the Company along with the additional agreed-upon interest, and the securities pledged by the Company are released back to the Company. The risks associated with the repurchase agreement program are primarily related to declines in the value of the securities pledged, which, if occurred, results in cash needing to be returned to the original purchasing party or additional securities needing to be posted as collateral.

Kuvare Life Re Ltd.

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In order to mitigate the credit risk and replacement risk associated with such agreements, repurchase transactions are diversified across multiple counterparties. Each counterparty is approved through a formal credit process, monitored daily, and reviewed periodically. The Company's policy requires that, at all times during the term of the repurchase agreement, cash or other forms of collateral provided is sufficient to pay the Company's obligation to the counterparty.

The Company had \$20.26m and \$nil of outstanding repurchase agreements as of December 31, 2025 and December 31, 2024, respectively. Included in those balances is accrued interest of \$32,901 and \$nil as of December 31, 2025 and December 31, 2024, respectively. The remaining contractual maturity of the repurchase agreements outstanding as of December 31, 2025, was 5 to 35 days. The carrying value of the securities pledged for the repurchase agreements was \$24.4m as of December 31, 2025, and \$nil as of December 31, 2024.

4. Funds withheld, reinsurance recoverable, deposit liability, PAB, LFPB and embedded derivative liabilities

The following table summarizes the Company's funds withheld, reinsurance recoverable, deposit liability, PAB, LFPB and embedded derivative liabilities by accounting classification.

	December 31, 2025			
	Total \$	Deposit Accounting \$	Life and structured settlement \$	Interest sensitive life and investment type \$
Assets:				
Funds withheld assets	2,380,429,197	205,057,508	1,343,934,557	831,437,132
Reinsurance recoverable	1,005,136,111	-	247,432,235	757,703,876
Liabilities:				
PAB and LFPB	7,508,969,667	-	1,435,122,263	6,073,847,404
Deposit liability	197,854,244	197,854,244	-	-
Embedded derivative liabilities	311,608,306	27,867,758	135,537,367	148,203,181
Funds withheld liabilities	993,027,009	-	239,331,383	753,695,626

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(expressed in U.S. dollars)

	December 31, 2024			
	Total	Deposit	Life and	Interest sensitive
	\$	Accounting	structured	life and
		\$	settlement	investment type
			\$	\$
Assets:				
Funds withheld assets	2,538,240,191	243,692,038	1,362,692,414	931,855,739
Reinsurance recoverable	590,435,279	-	214,605,049	375,830,230
Liabilities:				
PAB and LFPB	6,021,763,125	-	1,322,080,499	4,699,682,626
Deposit liability	234,689,570	234,689,570	-	-
Embedded derivative liabilities	387,692,017	39,974,477	174,918,813	172,798,727
Funds withheld liabilities	583,515,381	-	212,501,795	371,013,586

5. Policyholder account balance

The Company recognizes a liability for PAB's. The following tables summarize balances of and changes in policyholder account balance for the years ended December 31, 2025 and 2024:

	Year Ended December 31, 2025			Year Ended December 31, 2024		
	Fixed Deferred Annuities	Fixed Indexed Annuities	Total	Fixed Deferred Annuities	Fixed Indexed Annuities	Total
	\$	\$	\$	\$	\$	\$
Balance, beginning of year	750,813,413	453,825,547	1,204,638,960	809,800,875	224,431,912	1,034,232,787
Premiums received	7,922,744	174,730,373	182,653,117	9,883,951	237,404,286	247,288,237
Interest credited	28,651,463	20,599,282	49,250,745	31,430,390	7,573,898	39,004,288
Benefit payments, surrenders and withdrawals	(91,527,885)	(24,346,824)	(115,874,709)	(100,278,937)	(13,144,593)	(113,423,530)
Other	7,858,437	(4,331,589)	3,526,848	(22,866)	(2,439,956)	(2,462,822)
Balance, end of year	703,718,172	620,476,789	1,324,194,961	750,813,413	453,825,547	1,204,638,960
FAS 133 adjustments	-	374,284,939	374,284,939	-	390,289,331	390,289,331
Investment-Type contracts	4,375,367,504	-	4,375,367,504	3,104,754,335	-	3,104,754,335
Total PAB, end of year	5,079,085,676	994,761,728	6,073,847,404	3,855,567,748	844,114,878	4,699,682,626
Less reinsurance recoverable	475,165,932	282,537,944	757,703,876	136,240,286	239,589,944	375,830,230
Net PAB, end of year	4,603,919,744	712,223,784	5,316,143,528	3,719,327,462	604,524,934	4,323,852,396

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	December 31, 2025	December 31, 2024
Weighted-average interest crediting rate	6.88%	5.94%
Net amount at risk	\$ 99,448,196	\$ 72,484,777
Cash surrender value	\$ 563,542,858	\$ 410,448,399

The following tables present the net account values by range of guaranteed minimum crediting rates and the related range of difference, in basis points, between rates being credited to policyholders and the respective guaranteed minimums as of December 31, 2025 and 2024.

December 31, 2025				
	0-100 Basis Points Above	101-200 Basis Points Above	Greater Than 201 Basis Points Above	Total
	\$	\$	\$	\$
Guaranteed minimum crediting rates:				
Less than or equal to 1.00%	548,775	16,961,766	596,508,087	614,018,628
1.01% to 2.00%	-	-	-	-
2.01% to 3.00%	6,458,161	-	-	6,458,161
3.01% to 4.00%	-	-	-	-
Greater than 4.01%	-	-	-	-
Total	7,006,936	16,961,766	596,508,087	620,476,789
December 31, 2024				
	0-100 Basis Points Above	101-200 Basis Points Above	Greater Than 201 Basis Points Above	Total
	\$	\$	\$	\$
Guaranteed minimum crediting rates:				
Less than or equal to 1.00%	56,329,908	78,497,581	310,185,442	445,012,931
1.01% to 2.00%	-	-	-	-
2.01% to 3.00%	8,812,616	220,420	2,240,830	8,812,616
3.01% to 4.00%	-	-	-	-
Greater than 4.01%	-	-	-	-
Total	65,142,523	78,497,581	310,185,442	453,825,547

Policy charges assessed against policyholder contracts for mortality, administration and other services are included in the interest credited line item on the Statements of Operations.

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6. *Market risk benefits*

MRBs are measured at estimated fair value, which is determined using a risk-neutral valuation methodology, under which projected future benefit payments in excess of projected policyholder account balances, net of assessments and fees attributable to the guarantees, are modeled over a range of stochastic interest-rate scenarios. For fixed indexed annuities, the valuation also incorporates stochastic equity return scenarios to reflect cash flows attributable to indexed crediting strategies.

Significant inputs, judgments, and assumptions used in measuring market risk benefits

The determination of the fair value of MRBs requires the use of significant economic and actuarial assumptions, which include both observable and unobservable inputs. Economic assumptions include interest-rate term structures and implied interest-rate and equity volatilities over the duration of the liability. Additional assumptions for indexed annuities include projected equity returns used to estimate indexed cash flows and future equity option costs supporting index credits. Assumptions related to option budgets and policyholder behavior, including surrender rates, withdrawal activity, and utilization of guaranteed income benefits, are considered unobservable inputs and are established using accepted actuarial valuation methods based on historical experience, industry data, and pricing assumptions.

Projected net cash flows are discounted using observable risk-free interest rates, adjusted for a credit spread to reflect the Company's non-performance risk, which is based on the Company's market-observable credit characteristics and is considered an unobservable input. The valuation incorporates adjustments for non-capital-market risks to reflect uncertainty in actuarial assumptions. MRBs are classified as Level 3 within the fair value hierarchy due to the significance of unobservable inputs.

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The following table presents the balances of and changes in MRBs associated with fixed indexed annuities as of and for the year ended December 31, 2025 and 2024, respectively:

	Fixed Indexed Annuities	
	Year Ended December 31, 2025	Year Ended December 31, 2024
	\$	\$
Balance, beginning of year	4,180,022	326,098
Effect of changes in our own credit risk	944,266	1,287,344
Balance, beginning of year, before effect of changes in own credit risk	5,124,288	1,613,442
Changes in cash flow assumptions	(78,753)	(83)
Issuances	(180,047)	(417,457)
Interest accrual	261,466	219,933
Attributed fees collected	(3,545,496)	(2,535,049)
Expected benefit payments	17,288	18,309
Effect of actual experience different from assumptions	4,923,444	6,024,185
Effect of changes in future expected policyholder behavior	-	(347,979)
Other	562,452	548,987
Balance, end of year, before effect of changes in our own credit risk	7,084,642	5,124,288
Effect of changes in our own credit risk	(1,500,052)	(944,266)
Balance, end of year	5,584,590	4,180,022
Less: Reinsured MRBs, end of period	1,900,703	2,097,210
Net MRB Balance	3,683,887	2,082,812
Direct MRB asset	8,330,443	6,375,750
Direct MRB liability	(2,745,853)	(2,195,728)
Reinsured MRB asset	2,922,659	2,835,057
Reinsured MRB liability	(1,021,956)	(737,847)
MRB net amount at risk	99,448,196	72,484,777
Weighted average attained age of contract holders	60.93	61.38

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7. Liability for future policy benefits

The following tables summarize balances and changes in LFPB for traditional and limited-payment contracts as of and for the year ended December 31, 2025 and 2024:

	PRESENT VALUE OF EXPECTED NET PREMIUMS	
	Limited Pay	
	Year Ended December 31, 2025 \$	Year Ended December 31, 2024 \$
Balance, beginning of year	(4,854,337)	(4,008,991)
Effect of cumulative changes in discount rate assumptions	9,542	18,091
Balance at original discount rate, beginning of year	(4,844,795)	(3,990,900)
Effect of:		
Changes in cash flow assumptions	(65,943)	(5)
Actual variances from expected experience	(1,392,466)	(1,459,468)
Adjusted balance, beginning of year	(6,303,204)	(5,450,373)
Issuances	115,283,271	25,629,642
Interest accruals	(175,152)	(673,589)
Net premiums collected	(113,301,365)	(24,350,475)
Balance at original discount rate, end of year	(4,496,450)	(4,844,795)
Effect of cumulative changes in discount rate assumptions	(111,660)	(9,542)
Balance, end of year	(4,608,110)	(4,854,337)

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PRESENT VALUE OF EXPECTED FUTURE POLICY BENEFITS

	Year Ended December 31, 2025			Year Ended December 31, 2024		
	Limited Pay	Structured Settlements	Total	Limited Pay	Structured Settlements	Total
	\$	\$	\$	\$	\$	\$
Balance, beginning of year	413,621,933	828,702,784	1,242,324,717	432,166,700	920,581,800	1,352,748,500
Effect of cumulative changes in discount rate assumptions	9,549,256	54,141,376	63,690,632	(13,126,700)	(28,789,500)	(41,916,200)
Effect of foreign exchange on the change in discount rate assumptions	(4,082)	-	(4,082)	-	-	-
Balance at original discount rate, beginning of year	423,167,107	882,844,160	1,306,011,267	419,040,000	891,792,300	1,310,832,300
Effect of:						
Changes in cash flow assumptions	(923,721)	2,269,440	1,345,719	(16)	20	4
Actual variances from expected experience	(1,810,992)	13,248	(1,797,744)	(1,595,286)	(2,008,448)	(3,603,734)
Adjusted balance, beginning of year	420,432,394	885,126,848	1,305,559,242	417,444,698	889,783,872	1,307,228,570
Issuances	114,983,548	59,520	115,043,068	25,624,041	125,696	25,749,737
Interest accruals	20,830,124	45,085,286	65,915,410	20,799,619	45,461,945	66,261,564
Benefit payments	(45,078,944)	(52,111,910)	(97,190,854)	(39,935,661)	(52,527,353)	(92,463,014)
Foreign exchange	(4,745,013)	-	(4,745,013)	(765,590)	-	(765,590)
Balance at original discount rate, end of year	506,422,109	878,159,744	1,384,581,853	423,167,107	882,844,160	1,306,011,267
Effect of cumulative changes in discount rate assumptions	(4,437,059)	(44,802,752)	(49,239,811)	(9,549,256)	(54,141,376)	(63,690,632)
Effect of foreign exchange on the change in discount rate assumptions	124,984	-	124,984	(4,082)	-	(4,082)
Balance, end of year	502,110,034	833,356,992	1,335,467,026	413,621,933	828,702,784	1,242,324,717
Expected future benefits and expenses, undiscounted	837,678,823	2,233,858,560		765,041,475	2,331,465,216	
Expected future gross premiums, undiscounted	121,394,804	-		160,651,744	-	
Weighted average duration (in years)	4.54	12.76		5.17	13.99	
Weighted average interest accretion rate	1.79 %	5.26 %		1.51 %	5.26 %	
Weighted average current discount rate	2.25 %	5.67 %		1.64 %	5.74 %	

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	Year Ended December 31, 2025			Year Ended December 31, 2024		
	Limited Pay	Structured Settlements	Total	Limited Pay	Structured Settlements	Total
	\$	\$	\$	\$	\$	\$
Net liability for future policy benefits, unfloored	506,718,144	833,356,992	1,340,075,136	418,476,270	828,702,784	1,247,179,054
Impact of flooring of net liability for future policy benefits	-	-	-	-	-	-
Net liability for future policy benefits	506,718,144	833,356,992	1,340,075,136	418,476,270	828,702,784	1,247,179,054
Deferred profit liability	58,401,691	36,645,436	95,047,127	35,885,365	39,016,080	74,901,445
Net liability for future policy benefits and deferred profit liability	565,119,835	870,002,428	1,435,122,263	454,361,635	867,718,864	1,322,080,499
Less reinsurance recoverable	247,432,235	-	247,432,235	214,605,049	-	214,605,049
Net liability for future policy benefits after reinsurance	317,687,600	870,002,428	1,187,690,028	239,767,151	867,718,864	1,107,486,015

The following table summarizes the amount of revenue and interest related to traditional and limited-payment contracts recognized in the Statements of Operations for the years ended December 31, 2025 and 2024.

	Gross premiums		Interest expense	
	Year Ended December 31,		Year Ended December 31,	
	2025	2024	2025	2024
	\$	\$	\$	\$
Limited Pay	153,889,088	68,316,064	21,005,276	21,473,208
Structured Settlements	-	-	45,085,286	45,461,945
Total	153,889,088	68,316,064	66,090,562	66,935,153

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8. Fair value measurements

The fair values of financial instruments have been determined by using available market information and the valuation techniques described below. Considerable judgment is often required in interpreting market data to develop estimates of fair value. The use of different assumptions or valuation techniques may have a material effect on the estimated fair value amounts. The following table presents the carrying amounts and estimated fair values of the Company's financial instruments at December 31, 2025 and 2024.

	December 31, 2025		December 31, 2024	
	Carrying value \$	Estimated fair value \$	Carrying value \$	Estimated fair value \$
Assets:				
Fixed maturity securities, trading, fair value	89,923,055	89,923,055	64,599,348	64,599,348
Fixed maturity securities, AFS, fair value	5,473,769,373	5,473,769,373	3,611,386,500	3,611,386,500
Derivative assets	119,411,646	119,411,646	63,816,955	63,816,955
Other Investments	50,287,588	50,287,588	53,475,702	53,475,702
Market risk benefit asset	5,407,784	5,407,784	3,540,693	3,540,693
	<u>5,738,799,446</u>	<u>5,738,799,446</u>	<u>3,796,819,198</u>	<u>3,796,819,198</u>
Liabilities:				
Fixed index annuities - embedded derivatives*	189,203,676	189,203,676	142,556,076	142,556,076
Embedded derivative liabilities	311,608,306	311,608,306	387,692,017	387,692,017
Market risk benefit liability	1,723,897	1,723,897	1,457,881	1,457,881
Derivative liabilities	484,800,606	484,800,606	273,310,778	273,310,778
	<u>987,336,485</u>	<u>987,336,485</u>	<u>805,016,752</u>	<u>805,016,752</u>

*Embedded derivatives related to fixed indexed annuities are included in interest-sensitive life and investment-type contract liabilities.

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The following tables present the Company's hierarchy for its financial instruments measured at fair value on a recurring basis as of December 31, 2025 and 2024.

December 31, 2025	Fair value measurements using:				Net asset value \$
	Total \$	Level 1 \$	Level 2 \$	Level 3 \$	
Fixed maturity securities, trading, fair value:					
Government & agencies	195,692	-	195,692	-	-
Corporate bonds	36,909,638	-	36,909,638	-	-
Asset-backed securities	17,940,634	-	17,940,634	-	-
Mortgage-backed securities	29,589,091	-	29,589,091	-	-
Preferred stocks*	5,288,000	-	5,288,000	-	-
Fixed maturity securities, AFS, fair value:					
Government & agencies	14,777,474	-	14,777,474	-	-
Corporate bonds	2,590,316,474	-	2,590,316,474	-	-
Municipal	13,018,728	-	13,018,728	-	-
Asset-backed securities	1,369,138,588	-	1,369,138,588	-	-
Mortgage-backed securities	1,465,156,140	-	1,465,156,140	-	-
Collateral loans	5,129,825	-	5,129,825	-	-
Preferred stocks*	16,232,144	-	16,232,144	-	-
Other investments	50,287,588	-	-	34,480	50,253,108
Derivative assets	119,411,646	-	87,930,574	31,841,072	-
Market risk benefit asset	5,407,784	-	-	5,407,784	-
Total assets	5,738,799,446	-	5,651,623,002	36,923,336	50,253,108
Fixed index annuities – embedded derivatives	189,203,676	-	-	189,203,676	-
Derivative liabilities	484,800,606	-	484,800,606	-	-
Embedded derivative liabilities	311,608,306	-	311,608,306	-	-
Market risk benefit liability	1,723,897	-	-	1,723,897	-
Total liabilities	987,336,485	-	796,408,912	190,927,573	-

*Preferred stock is redeemable in future.

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December 31, 2024	Fair value measurements using:				Net asset value \$
	Total \$	Level 1 \$	Level 2 \$	Level 3 \$	
Fixed maturity securities, trading, fair value:					
Government & agencies	181,610	-	181,610	-	-
Corporate bonds	20,194,900	-	20,194,900	-	-
Asset-backed securities	22,532,987	-	22,532,987	-	-
Mortgage-backed securities	10,253,409	-	10,253,409	-	-
Collateral loans	11,436,442	-	11,436,442	-	-
Fixed maturity securities, AFS, fair value:					
Government & agencies	14,331,733	-	14,331,733	-	-
Corporate bonds	1,455,941,301	-	1,455,941,301	-	-
Municipal	12,942,500	-	12,942,500	-	-
Asset-backed securities	1,201,229,035	-	1,201,229,035	-	-
Mortgage-backed securities	892,718,159	-	892,718,159	-	-
Collateral loans	18,161,721	-	18,161,721	-	-
Preferred stocks*	16,062,051	-	16,062,051	-	-
Other investments	53,475,702	-	-	6,433,699	47,042,003
Derivative assets	63,816,955	-	63,816,955	-	-
Market risk benefit asset	3,540,693	-	-	3,540,693	-
Total assets	3,796,819,198	-	3,739,802,803	9,974,392	47,042,003
Fixed index annuities – embedded derivatives	142,556,076	-	-	142,556,076	-
Derivative liabilities	273,310,778	-	273,310,778	-	-
Embedded derivative liabilities	387,692,017	-	387,692,017	-	-
Market risk benefit liability	1,457,881	-	-	1,457,881	-
Total liabilities	805,016,752	-	661,002,795	144,013,957	-

*Preferred stock is redeemable in future.

Valuations for the Company's fixed maturity securities and derivative assets and liabilities are generally based on third party pricing services for identical or comparable assets or through the use of valuation methodologies using observable market inputs and broker quotes for derivatives assets and are classified as Level 2. Based on the typical volumes and the lack of quoted market prices for fixed maturity securities, third party pricing services normally derive the security prices through recent reported trades for identical or similar securities making adjustments through the reporting date based upon available observable market information. Typical inputs include, but are not limited to, reported trades, benchmark yields, issuer spreads, bids, offers, credit default assumptions, and/or estimated cash flows and prepayment speed assumptions. If there are no recent reported trades, the third party pricing services and brokers may use matrix or model processes to develop a security price where future cash flow expectations are developed based upon collateral performance and discounted market rate. Derivatives are valued using quoted market prices for exchange-traded derivatives or broker quotes for over-the-counter derivatives, where all significant valuation inputs are corroborated by market evidence. The Company's investments in partnerships and limited liability companies are accounted for using the Net asset value (NAV) as a practical expedient.

Valuations for embedded derivatives related to fixed indexed annuities and included in interest-sensitive life and investment-type contract liabilities include significant unobservable inputs associated with economic and actuarial assumptions for policyholder behaviour.

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As of December 31, 2025, included in future policy benefit reserves are embedded derivative liabilities of \$189,203,676 (2024: \$142,556,076) related to fixed indexed annuities. Net amounts included in claims and other insurance expenses for the year amounted to \$25,867,340 (2024: \$41,587,516).

The valuation technique and significant unobservable inputs used in the determination of fair value of embedded derivative liabilities related to fixed index annuities includes i) policyholder behaviour, reflecting mortality, lapse/surrender, annuitizations and partial withdrawals assumptions ii) non-performance risk reflecting credit and illiquidity spreads in excess of observable inputs such as treasury yields, adjusted for the Company's own credit risk based on our public credit rating.

Level 3 Financial Instruments

The following table is a reconciliation for all level 3 financial instruments measured at fair value on a recurring basis, for the years ended December 31, 2025 and 2024.

	December 31, 2025	December 31, 2024
	\$	\$
Balance at the beginning of year	6,433,699	5,737,894
Realized and unrealized gains included in net income	34,490,042	695,805
Purchases	-	-
Sales and Settlements	(9,408,189)	-
Net transfers into (out of) Level 3	-	-
Balance at the end of year	31,515,552	6,433,699
Change in unrealized (losses) gains included in net income, relating to instruments held at the end of the period	31,475,753	695,805

There were no transfers between levels for the year ended December 31, 2025.

9. Derivative instruments

None of the Company's derivatives qualify for hedge accounting, thus, any change in the fair value of the derivatives is recognized in the statements of operations. The fair value of the derivative instruments, presented in the balance sheets as of December 31, 2025 and 2024 are as follows:

	Year Ended December 31, 2025	Year Ended December 31, 2024
	\$	\$
Assets:		
Call Options	18,978,527	11,321,160
Structured Notes	68,952,047	52,495,795
Warrants	31,481,072	-
Liabilities:		
Cross Currency Swaps	484,800,606	273,310,778

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The changes in fair value of derivatives included in the statements of operations as unrealized gains (losses) on derivatives:

	Year Ended December 31, 2025	Year Ended December 31, 2024
	\$	\$
Changes in fair value of derivatives:		
Call options and Structured Notes	9,046,943	11,840,759
Cross Currency Swaps	(211,489,828)	(201,772,346)
Warrants	31,481,072	-
	(170,961,813)	(189,931,587)

The notional amount and fair value of our options and swaps by counterparty and each counterparty's current credit rating is as follows:

	Credit rating (S&P)	Fair value \$	Notional Amount \$
Wells Fargo	A	4,306,593	583,299,608
Royal Bank of Canada	AA	36,023,525	154,296,156
Bank of Montreal	A	(437,200,150)	3,218,299,571
Gracie Point Holdings LLC	Not Rated	31,481,072	24,062,695

10. Reinsurance

The Company has an agreement that provides for reinsurance of certain policy-related risks. Under the agreement, premiums, contract charges, interest credited to policyholder funds, policy benefits and substantially all expenses are reinsured. The Company cedes on a funds withheld basis, a portion of the fixed deferred annuity, fixed indexed annuity and limited pay contracts. At December 31, 2025 and 2024, the Company had reinsurance recoverables of \$1,005,136,111 and \$590,435,279 due from the reinsurer. The reinsurance recoverables are supported by a funds withheld liabilities of approximately \$993,027,009 and \$583,515,381 as of December 31, 2025 and 2024, respectively.

The reduction of premiums, claims and other insurance expenses and interest credited as a result of reinsurance transactions were as follows:

	Year Ended December 31, 2025	Year Ended December 31, 2024
	\$	\$
Premiums	49,315,095	20,881,474
Claims and other insurance expenses	(59,056,558)	(28,059,882)
Interest credited	(9,359,638)	(10,481,773)

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11. Deferred acquisition costs

The following table represents a roll forward of DAC by product for the years ended December 31, 2025 and 2024, respectively:

	Year Ended December 31, 2025				Year Ended December 31, 2024			
	Fixed Deferred Annuities	Fixed Indexed Annuities	Limited Pay	DAC-Total Life and Annuities	Fixed Deferred Annuities	Fixed Indexed Annuities	Limited Pay	DAC-Total Life and Annuities
	\$	\$	\$	\$	\$	\$	\$	\$
Balance, beginning of year	499,126	40,988,856	42,439,285	83,927,267	-	20,881,422	45,535,180	66,416,602
Capitalizations	8,106,687	17,472,096	1,100,422	26,679,205	519,903	23,126,012	700,555	24,346,470
Amortization expense	(1,301,505)	(6,023,898)	(3,304,330)	(10,629,733)	(5,138)	(3,018,578)	(3,791,312)	(6,815,028)
Foreign exchange	(76,985)	-	(25,164)	(102,149)	(15,639)	-	(5,138)	(20,777)
Balance, end of year	7,227,323	52,437,054	40,210,213	99,874,590	499,126	40,988,856	42,439,285	83,927,267

12. Unearned revenue reserve

The following tables summarize balances of and changes in the URR balances for the years ended December 31, 2025 and 2024:

	Year Ended December 31, 2025			Year Ended December 31, 2024		
	Fixed Deferred Annuities	Fixed Indexed Annuities	Total	Fixed Deferred Annuities	Fixed Indexed Annuities	Total
	\$	\$	\$	\$	\$	\$
Balance, beginning of year	31,121,240	2,156,976	33,278,216	35,006,296	3,379,836	38,386,132
Amortization expense	(3,612,738)	(788,255)	(4,400,993)	(3,615,367)	(1,222,860)	(4,838,227)
Balance, end of year	27,508,502	1,368,721	28,877,223	31,121,240	2,156,976	33,278,216

13. Share capital and additional paid-in capital

Authorized and Issued share capital

The authorized and issued share capital of the Company is \$250,000 divided into 250,000 ordinary shares, par value \$1 each.

Additional paid-in capital

During the year ended December 31, 2025, the Company received \$120,553,484 (2024 - \$125,000,000) by way of additional capital contributions from its shareholder. During the year the Company also paid a return of capital to its shareholder totalling \$100,000,000.

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For the years ended December 31, 2025 and 2024

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14. Statutory requirements

The Company operates in Bermuda and is subject to Bermuda's Insurance Account Rules, amendments thereto and related Regulations (the "Act"). Under the Act, the Company is prohibited from declaring or paying in any fiscal year dividends of more than 25% of its prior year's statutory capital and surplus without prior approval from the Bermuda Monetary Authority (BMA). Similarly, approval from the BMA is required before any reduction of statutory capital by more than 15% compared to the previous year statutory capital. The primary difference between financial statements prepared for insurance regulatory authorities and statements prepared in accordance with US GAAP is that financial statements prepared for the insurance regulatory authorities apply prudential filters to the US GAAP financial statements in order to derive the Statutory Financial Statements. Prudential filters refer to adjustments to eliminate non-admitted assets including goodwill and other similar intangible assets, not considered admissible for solvency purposes; and to include certain off-balance sheet assets and liabilities such as guarantees and other instruments that do not relate to insurance contracts. Bermuda statutory surplus differs from U.S. GAAP also due to a modification that permits the Company to not measure the embedded derivative included within funds withheld coinsurance agreements at fair value.

The Company is licensed as a Class E Long term insurer under the Act and is required to maintain a minimum statutory solvency margin equal to the greater of a minimum solvency margin (MSM) and a percentage of the Enhanced Capital Requirement ("ECR"). The MSM is equal to the greater of (i) \$8 million (ii) 2% of the first \$500 million of assets plus 1.5% of assets above \$500 million or (iii) 25% of ECR. The ECR is calculated based on a standard risk-based capital model developed by the Bermuda Monetary Authority ("BMA"). At December 31, 2025 and 2024, the Company's statutory capital and surplus exceeded the minimum solvency margin.

The Bermuda Solvency Capital Requirement ("BSCR") employs a standard mathematical model that can relate more accurately the risks taken on by (re)insurers to the capital that is dedicated to their business. Insurers and reinsurers may adopt the standard approach where the BMA prescribes a discount rate reflecting a risk-free rate plus illiquidity premium or the scenario-based approach where the insurer uses the actual portfolio of assets (as well as any projected reinvestments) to determine yields net of default costs. The Company has obtained approval from the BMA for the utilization of the scenario-based approach. At December 31, 2025 and 2024, the Company's ECR and target capital level of 120% of ECR have both been met.

15. Related parties

As of December 31, 2025 included in accounts payable and accruals is an amount of \$4,371,426 (2024: \$3,441,994) relating to accrued cost sharing fees payable to Kuvare US Holdings, Inc ("KUS"), a Delaware corporation, for certain services provided to the Company at agreed costs and fees pursuant to a Master Services Agreement by and among KUS, Kuvare Bermuda Re Ltd. ("KBR"), the Company and other parties. Amounts recognised in operating expenses and investment management expenses in the period amounted to \$21,354,026 (2024: \$25,158,540).

As of December 31, 2025, the Company had an outstanding amount receivable from its ultimate shareholder of \$nil (2024 - \$80,000,000) that related to additional capital contribution.

The Company has borrowing facilities available with KUS and KBR. Borrowings under these agreements accrue interest at Term Secured Overnight Financing Rate ("SOFR"), plus the relevant lending rate applicable to the parent company, plus 1% per annum and are due up to 10 years from the date of the agreements. As of December 31, 2025 and 2024 there were no outstanding principals. Total amount due to affiliates under these agreements amounted to \$nil (2024: \$190,288) owing to KBR for interest incurred. Interest expensed in the period amounted to \$nil (2024: \$755,009).

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As of December 31, 2025, included in funds withheld, are surplus notes to the principal amounts of \$10,000,000 and \$5,000,000 respectively, from Guaranty Income Life Insurance Company and United Life Insurance Company, both Iowa regulated insurers that are under common control. The surplus notes accrue interest at 6% and 5.5% per annum and mature on December 31, 2049 and June 30, 2051 respectively. Amounts included in investment income from funds withheld for the year amounted to \$875,000 (2024: \$875,000).

16. Commitments and contingencies

The Company has no undrawn letters of credit as of December 31, 2025 (2024: \$60,000,000).

17. Concentration of credit risk

The Company is a party to financial instruments with a concentration of credit risk in the normal course of business. The creditworthiness of any counterparty is evaluated by the Company, taking into account credit ratings assigned by rating agencies. The credit approval process involves an assessment of factors including, among others, the counterparty and country and industry credit exposure limits. Collateral may be required, at the discretion of the Company, on certain transactions based on the creditworthiness of the counterparty and the nature of the liabilities. The areas where significant concentrations of credit risk may exist include fixed maturity securities, derivatives, funds withheld and reinsurance balances recoverable and receivable (collectively, "reinsurance assets"). For reinsurance assets, the risk of loss is mitigated by the Company's ability to offset amounts owed to the ceding and reinsuring companies with the amounts owed to the Company from them. Mitigating factors include using financially sound custodians, investment grade collateral with further investment guidelines governing the quality of the portfolio, ceding companies with high credit rating, reinsurance agreements on a funds withheld basis and ability to offset amounts owed to ceding and reinsuring companies with amounts due from them.

Fixed maturity securities

The Company's investments are managed following prudent standards of diversification. The Company attempts to limit its credit exposure by purchasing a diversified pool of high-quality fixed maturity securities to maintain an investment grade average portfolio that can be pledged as collateral or support retained earnings. As of December 31, 2025 and December 31, 2024 the credit ratings of the securities purchased were detailed in Note 3.

Other investments

Certain of the Company's limited partnership investments are invested in alternative credit strategies. The Company manages its credit exposure by investing with high quality managers with proven track records. In certain instances, these alternative credit strategies have been rated investment-grade by Nationally Recognized Statistical Ratings Organizations ("NRSROs").

Derivative assets and liabilities

The Company diversifies the counterparties to its derivative contracts to reduce credit exposure, in addition to entering transactions with creditworthy counterparties. Where possible, we maintain collateral arrangements and use master netting agreements that provide for a single net payment from one counterparty to another at each due date and upon termination.

Funds withheld assets

The assets are held and managed by the Cedants, well-established reinsurance groups and insurance companies with operations in Bermuda and the United States with A ratings. In addition, the risk of loss is mitigated by the

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Notes to Financial Statements

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Company's ability to offset amounts owed to the Cedants with the amounts owed to the Company by the Cedants.

Reinsurance recoverable

The underlying assets are held and managed by the Company. We mitigate credit risk by requiring collateral and credit enhancements in various forms, including structuring the terms of our reinsurance agreements on a funds withheld basis and the use of trusts. In addition, the risk of loss is mitigated by the Company's ability to offset amounts owed to the Reinsurers with the amounts owed to the Company by the Reinsurers.

Cash, cash equivalents and restricted cash

Risk of loss with respect to cash and cash equivalents is primarily mitigated by usage of money market funds that have underlying investments in US Treasuries. Cash balances held directly with banks are monitored on a frequent basis and only used for coverage of operating expenses.

Accounts receivable

Risk of loss with respect to receivables is managed primarily by the Company's strategy to work with highly rated counterparties. The reinsurance cedants of the company are generally rated A or higher by third party rating agencies. Further, non-delivery of reinsurance premium would generally constitute a breach of contract by these carriers which would lead to termination of these treaties.

18. Audit fees

Audit fees are expensed as incurred. Total Audit fees were \$283,100 and \$283,300 for the years ended December 31, 2025, and 2024, respectively. Audit fees are recorded in "Operating expenses" within the Statements of Operations and Comprehensive Income (Loss). There were no non-audited related fees paid to our auditors with respect to the Company.

19. Subsequent events

The Company has evaluated the effects of events subsequent to December 31, 2025, for recognition and disclosure, through to April 30, 2026, which is the date the financial statements were available to be issued. There were no material events that occurred subsequent to December 31, 2025.